Type MS · Why businesses carry out market research

Answer 1 of 8 · Question 2 part c · 3 marks

2020 NOV · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

2 (a)	**AO2 = 1 mark** Award 1 mark for a valid reason of business failure in the context of the business. • Ollie may not have enough experience of other musical instruments so costs could increase as he may have to employ a specialist musician (1). • An increase in the economy could lead to an increase in the demand of leisure activities and Ollie may not be able to cope with the demand (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**AO2 = 1 mark** Award 1 mark for a valid benefit of employing casual staff in the context of the business. • If *TADS* is successful it can employ music teachers for instruments other than drums when needed (1). • When *TADS* has quieter periods of business it can reduce the hours of the specialist teachers (1).	**(1)**

Type MS · Why businesses carry out market research

Answer 1 of 8 · Question 2 part c · 3 marks

2020 NOV · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**AO1 = 3 marks** Award 1 mark for identification of a purpose of market research, plus 2 further marks for explaining this purpose for a business, for a maximum of 3 marks. • A purpose of market research can be to identify your customers' needs (1) this will help you to design your products to meet those needs (1) and allow the business to be more successful (1). NB Answers that list three purposes with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**
Question Number	Answer	Mark
2 (d)	**AO1 = 3 marks** Award 1 mark for identification of a measure of business success, plus 2 further marks for explaining this measure for a business, for a maximum of 3 marks. • A measure can be through customer satisfaction (1). If customers are happy with the products/services they are likely to revisit the business (1) and this could lead to them recommending the business to friends and family (1). NB Answers that list three measures with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Why businesses carry out market research

Answer 1 of 8 · Question 2 part c · 3 marks

2020 NOV · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**AO1 = 3 marks** Award 1 mark for the identification of an impact of an increase in interest rates, plus 2 further marks for explaining that impact, for a maximum of 3 marks. • An increase in interest rates could lead to higher costs for a business (1). This can lead to a reduction in profits because each month the business must pay back part of the debt (1) and the interest charged on the loan will be higher (1). Answers that list three impacts of an increase in interest rates with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Why businesses carry out market research

Answer 1 of 8 · Question 2 part c · 3 marks

2020 NOV · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – By using commission *TADS* would encourage its teachers to find new pupils who want to learn music. • Option 2 – Increasing the hourly rate would encourage music teachers to work for longer hours. **AO3** • Option 1 – By recruiting more pupils teachers will be paid a commission on top of their hourly rate for teaching. • Option 2 – Teachers are more likely to remain with *TADS* as they believe they are being paid well for the work they do. **AO4** • Option 1 – However, the commission is a one-off payment and once paid the teachers would only receive their hourly rate, which may not be sufficient to continue to be employed by *TADS*. • Option 2 – However, if *TADS* cannot increase the number of pupils it may not be able to retain all of the teachers it currently employs.	**(9)**

Type MS · Why businesses carry out market research

Answer 1 of 8 · Question 2 part c · 3 marks

2020 NOV · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why businesses carry out market research

Answer 1 of 8 · Question 2 part c · 3 marks

2020 NOV · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark

Type MS · Why businesses carry out market research

Answer 2 of 8 · Question 1 part a.iii · 1 mark

2019 JUN · Paper 02 · extract 1 of 5 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **D –** Share capital	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **B -** Age	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **A –** Market research	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** – Total costs and revenue are the same	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 - 1 mark** **B –** €34 800	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **C -** €5 962	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of insolvency. • When a business can no longer meet its debts **(1)**.	**(1)**

Type MS · Why businesses carry out market research

Answer 2 of 8 · Question 1 part a.iii · 1 mark

2019 JUN · Paper 02 · extract 2 of 5 · find part a.iii in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of product life cycle. • The stages a product will pass through from its introduction, through to growth, maturity and then decline **(1)**.	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why an employee could be dismissed in the context of the business. • Arriving late on the production line **(1)**. • Stealing an item such as a tyre **(1)**. **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 89,841 x .23 **(1)** = 20,663.43 89,841 + 20,663 = 110,504 **(1)** **OR** 123/100 x 89,841 **(1)** **=** 110,504 **(1)**	Award 1 mark for correctly substituting numbers into the formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Why businesses carry out market research

Answer 2 of 8 · Question 1 part a.iii · 1 mark

2019 JUN · Paper 02 · extract 3 of 5 · find part a.iii in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an impact of technology on production, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Fewer people required to work in the factories doing repetitive jobs **(1)** people get bored doing these jobs and make mistakes **(1).** Less employees brings the cost of goods down **(1).** • More robots are manufacturing the vehicles than previously **(1)** this means that the vehicles can be manufactured in any country **(1)** therefore the business could move to a cheaper country **(1).** Answers that list three impacts with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**3)**

Type MS · Why businesses carry out market research

Answer 2 of 8 · Question 1 part a.iii · 1 mark

2019 JUN · Paper 02 · extract 4 of 5 · find part a.iii in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Tata Motor Company* highlights that it helps the local community with building schools/working on the environment. • *Tata Motor Company* also invests heavily in the health and welfare of people and the community. **AO3** • The public are more likely to think highly of *Tata Motor Company* if it is using the profits from its business to help local communities. • If there is any bad publicity about the vehicles sold then it could have a negative effect on the business.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Why businesses carry out market research

Answer 2 of 8 · Question 1 part a.iii · 1 mark

2019 JUN · Paper 02 · extract 5 of 5 · find part a.iii in this mark scheme extract

Question Number	Answer	Mark

Type MS · Why businesses carry out market research

Answer 3 of 8 · Question 2 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

2 (a)	**A02 = 1 mark** Award 1 mark for a valid function of human resources in the context of the business. • To recruit and select skilled employees to manufacture hockey sticks at *HRMW*'s factory (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 = 1 mark** Award 1 mark for a valid reason for carrying out market research in the context of the business. • *HRMW* can collect information relating to sports products it sells or intends to sell (1). **Accept any other appropriate response.**	**(1)**

Type MS · Why businesses carry out market research

Answer 3 of 8 · Question 2 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**A01 = 3 marks** Award 1 mark for identification of a benefit for using penetration pricing, plus 2 further marks for explaining why penetration pricing is beneficial for a business, for a maximum of 3 marks. • By using this method, the business puts its prices lower than other businesses (1). It does this in order to get established in the market (1). Once customers are buying the product the price may increase (1). NB Answers that list three benefits with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (d)	**A01 = 3 marks** Award 1 mark for a benefit to using the internet for secondary market research, plus 2 further marks for explaining this benefit, for a maximum of 3 marks. • Using the internet for secondary research enables businesses to access a large volume of data (1). This means that businesses do not have to go out and collect the data themselves, as they find it on the internet (1). This is a much cheaper and quicker way of collecting the required information as someone else has already done it (1). Answers that list three benefits with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Why businesses carry out market research

Answer 3 of 8 · Question 2 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**A01 = 3 marks** Award 1 mark for the identification of a benefit of introducing new products, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • A business introduces new products to keep customers interested in the business and the products it sells (1). The business can replace an old product with a new one (1) in order to keep up with trends in the market (1). Answers that list three benefits of introducing new products with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Why businesses carry out market research

Answer 3 of 8 · Question 2 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – By using this method the employees are involved in the process of improving the production of the sports products they manufacture. • Option 2 – With JIT (just-in-time) employees do not waste time waiting for materials to arrive such as leather used to make footballs. **AO3** • Option 1 – The employees know 'first-hand' where improvements in the production of sports products could be made. • Option 2 – This saves *HRMW* from having to have space to store the materials from which it makes sporting products, and this saves costs. **AO4** • Option 1 – However, there is no guarantee that the employees are willing to help improve the production of sports products thereby, saving the business money. • Option 2 – However, JIT can only work provided employees making footballs work at the same rate and that the supplier delivers the leather on time.	**(9)**

Type MS · Why businesses carry out market research

Answer 3 of 8 · Question 2 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why businesses carry out market research

Answer 3 of 8 · Question 2 part b · 1 mark

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark

Type MS · Why businesses carry out market research

Answer 4 of 8 · Question 1 part d · 1 mark

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D Raw materials** **A** – is not the correct answer as insurance is a one-off payment **B** - is not the correct answer as rent is also a fixed cost for a period of time **C** - is not the correct answer as salaries are the same for a certain period	**(1)**

Q. No.	Which **one** of the following is a type of discrimination protected by employee legislation? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Age** **A** – is not the correct answer as political is not protected by employee legislation **B** - is not the correct answer as ethical is not protected by employee legislation **D** - is not the correct answer as promotion is not protected by employee legislation	**(1)**

Type MS · Why businesses carry out market research

Answer 4 of 8 · Question 1 part d · 1 mark

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Q. No.	Which **one** of the following is the price of buying both items with the promotional discount? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B – £150.48** **A** – is not the correct answer as £129.96 is the cost with 24% discount **C** - is not the correct answer as £160.80 is the cost with the discount only applied to one item **D** - is not the correct answer as £171.00 is the cost of the items without a discount	**(1)**

Q. No.	Which **one** of the following is an advantage of primary market research? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C - It is more up to date method of research** **A** – is not the correct answer as it is more expensive than other types of market research **B** – is not the correct answer as it is more time-consuming than other market research methods **D** - is not the correct answer as it is not only carried out by market-research agencies	**(1)**

Type MS · Why businesses carry out market research

Answer 4 of 8 · Question 1 part d · 1 mark

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Q. No.	Which **one** of the following is the closing balance for this month? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is B – €96 000** **B** – is not the correct answer as €88 000 is cash inflow plus cash outflow **C** – is not the correct answer as €110 000 is opening balance plus cash outflow **D** - is not the correct answer as €130 000 is opening balance plus cash inflow	**(1)**

Q. No.	Which **one** of the following is a likely effect of this change for American businesses? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is A – higher loan repayments** **B** – is not the correct answer as the change in interest rates does not affect labour costs **C** – is not the correct answer as the change in interest rates will not improve net cash flow **D** - is not the correct answer as there is no guarantee of an increase in sales	**(1)**

Q. No.	Define the term **autonomy**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Giving employees the authority to make choices about the way they work **(1)**	**(1)**

Type MS · Why businesses carry out market research

Answer 4 of 8 · Question 1 part d · 1 mark

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Q. No.	Define the term **qualitative data**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **qualitative data**. • Data relating to attitudes, beliefs and intentions **(1)**	**(1)**

Q. No.	State **one** reason why *Rabanne* may use test marketing when introducing a new product. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Rabanne* may use test marketing when introducing a product in the context of the business • *Rabanne* uses test marketing to see if the new perfume they want to introduce is something that customers are likely to buy **(1)** • If the aftershave is not liked, then *Rabanne* can make adjustments before it is launched **(1)** **NB** Do not accept a reason that is not in the context of *Rabanne*. Accept any appropriate response	**(1)**

Q. No.	Calculate, to **two** decimal places, the price of the handbag in US dollars. You are advised to show your working. **Answer**	**Additional Guidance**	Mark
1 (e)	**A02 - 2 marks** = 1 709.68 **(2)** **OR** 1 590 ÷ 0.93 = **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Why businesses carry out market research

Answer 4 of 8 · Question 1 part d · 1 mark

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Q. No.	Explain **one** reason why an employer might use a letter to communicate with an employee. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a reason why an employer might use a letter to communicate with an employee, plus 2 further marks, for a maximum of 3 marks. • Letters are private way of communicating **(1)** a job offer/promotion/suspension/redundancy with an employee **(1)** to confirm the next stage in the process **(1)** • Letters are a formal way of communication **(1)** as it portrays a professional image for the business **(1)** and is personal to an employee **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Analyse **two** benefits to *Rabanne* of being a global business. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As *Rabanne* is a global business its perfume can be sold throughout the world • Being global gives *Rabanne* access to a variety of employees who have the skills and knowledge to create different fragrances for men and women **AO3** • Giving it access to a wider range of people who can purchase its products more easily • Providing a variety of skills and talents to help create and sell its products	**(6)**

Type MS · Why businesses carry out market research

Answer 4 of 8 · Question 1 part d · 1 mark

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Q. No.	State **one** reason why *Rabanne* ensures that all its employees have job enrichment opportunities. **Answer**	Mark

Type MS · Why businesses carry out market research

Answer 5 of 8 · Question 2 part d · 3 marks

2023 JUN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid method *Irsi Chocolatier* could use to improve its competitive position in the context of the business. • The chocolate shop may now open on a Monday **(1)** **NB** Do not accept a method that is not in the context of *Irsi Chocolatier* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** way *Irsi Chocolatier* might extend the life cycle of one of its products. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid way *Irsi Chocolatier* might extend the life cycle of a product in the context of the business. • *Irsi Chocolatier* can lower the price of its chocolates **(1)** **NB** Do not accept a way that is not in the context of *Irsi Chocolatier* **Accept any other appropriate response.**	**(1)**

Type MS · Why businesses carry out market research

Answer 5 of 8 · Question 2 part d · 3 marks

2023 JUN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** way a business could use e-newsletters. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a way a business could use e-newsletters, plus 2 further marks for explaining this way, for a maximum of 3 marks. • E-newsletters can be personalised based on a customer's previous transactions **(1)** it could include special discounts just for them **(1)** leading to customers being motivated to return **(1)** **NB** Answers that list three ways with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**
Question Number	Explain **one** way a business could use market research information. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a way a business could use market research information, plus 2 further marks for explaining this way, for a maximum of 3 marks. • To find out what customers think of their products **(1)** so they can act on any relevant feedback given **(1)** and therefore better meet the needs of customers **(1)** **NB** Answers that list three ways with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Why businesses carry out market research

Answer 5 of 8 · Question 2 part d · 3 marks

2023 JUN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** benefit to a business that has a decentralised organisational structure. **Answer**	**Mark**
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit to a business that has a decentralised organisational structure, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • Employees may be better motivated **(1)** as they can share their ideas with the fellow employees **(1)** and can be part of the decision making process **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Why businesses carry out market research

Answer 5 of 8 · Question 2 part d · 3 marks

2023 JUN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	*Irsi Chocolatier* is considering using: **Option 1:** batch production **Option 2:** job production. Justify which **one** of these two options *Irsi Chocolatier* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – batch production would allow different flavours and shapes of chocolate lollipops to be made • **Option 2** – Job production allows *Irsi Chocolatier* to give customers the option of personalised chocolate lollipops **AO3** • **Option 1** – This method will allow *Irsi Chocolatier* to make a certain number of one type of lollipop and then switch to another to give customers a range in lollipops as it does with the chocolates • **Option 2** – This method would give a consistent approach to its customers of personalised products **AO4** • **Option 1** – However, it could be more costly depending on the demand for different shapes and flavours • **Option 2** – However, lollipops are only small items so customers may not want to wait for them to be personalised and may prefer to buy off the shelf to make the transaction quicker	**(9)**

Type MS · Why businesses carry out market research

Answer 5 of 8 · Question 2 part d · 3 marks

2023 JUN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why businesses carry out market research

Answer 5 of 8 · Question 2 part d · 3 marks

2023 JUN · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
	Define the term **fringe benefits.**	

Type MS · Why businesses carry out market research

Answer 6 of 8 · Question 4 part b · 6 marks

2025 NOV · Paper 02 · extract 1 of 4 · find part b in this mark scheme extract

4 (a)	**AO2 – 2 marks** Award 2 marks for the correct answer 8.26 % **(2)** **OR** award 1 mark for workings if final answer is incorrect 112 000 – 94 000 = 18 000 **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Q. No.	Analyse the purpose of market research for *Samsung*. **Indicative content**	Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Samsung* are able to identify and understand its customer's needs in terms of what they look for when buying a laptop or TV • Market research will help *Samsung* identify potential gaps in the competitive smartphone market **AO3** • *Samsung* can consider the features customers prefer to increase demand for its products • This, this may lead to *Samsung* developing a USP to attract more customers	**(6)**

21

Type MS · Why businesses carry out market research

Answer 6 of 8 · Question 4 part b · 6 marks

2025 NOV · Paper 02 · extract 2 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

22

Type MS · Why businesses carry out market research

Answer 6 of 8 · Question 4 part b · 6 marks

2025 NOV · Paper 02 · extract 3 of 4 · find part b in this mark scheme extract

Q. No.	Evaluate whether a centralised organisation structure will benefit *Samsung*. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO1** • A centralised organisation structure is where business decisions are made at the headquarters of the business • It is usual in a centralised structure that decisions for the whole business are made by the CEO and other senior managers **AO2** • This means that major decisions on the design and the development of smartphones will be made in South Korea to speed up the decision making • It means that *Samsung* can benefit from economies of scale if TVs are standardised and the marketing can be organised centrally **AO3** • This will ensure *Samsung* can react quickly to changes in technology which is of importance in the competitive smartphone market to ensure it maintains its market share • A reduction in unit costs may help reduce prices of the TVs to help them remain the leading supplier in the industry **AO4** • However, lack of authority lower in the organisation may demotivate mangers leading to lower productivity/ employees leaving their jobs resulting in higher costs and lower profit levels • However, local managers in the factories and offices outside South Korea may have a better understanding of local needs /be in a better position to attract more customers	**(12)**

23

Type MS · Why businesses carry out market research

Answer 6 of 8 · Question 4 part b · 6 marks

2025 NOV · Paper 02 · extract 4 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why businesses carry out market research

Answer 7 of 8 · Question 4 part c · 12 marks

2021 NOV · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

4 (a)	**A02 - 2 marks** 5 353/6.70 **(1)** = 798.96 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Why businesses carry out market research

Answer 7 of 8 · Question 4 part c · 12 marks

2021 NOV · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Analyse why *Huawei* would want good quality control when producing its smartphones. **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • If *Huawei* gains a reputation for good quality products more customers are likely to purchase its smartphones • To repair faulty smartphones or tablets could be expensive for *Huawei* **AO3** • If the standard is not maintained then customers may not trust the reliability of the smartphones and may change to other brands • If customers have to wait for smartphones and tablets to be repaired this could give *Huawei* a bad reputation	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

4BS1 02 November 2021

Type MS · Why businesses carry out market research

Answer 7 of 8 · Question 4 part c · 12 marks

2021 NOV · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Evaluate why *Huawei* would carry out market research before designing a new product. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Market research finds out what customers' needs and wants are • By carrying out market research *Huawei* will be able to make informed decisions as to actions it should take **AO2** • If *Huawei* produces a watch that very few customers want then it could waste a great deal of money • *Huawei* may decide to add additional features or reduce or increase the size of its smartphones from comments made by potential customers **AO3** • This could have a negative effect on *Huawei's* financial situation and also impact upon the development of other products such as tablets that *Huawei* makes and sells • This could help increase sales of tablets and smartphones and enable *Huawei* to remain competitive **AO4** • However, producing a watch that no other business is offering could mean that it sells more of the products and gains a competitive advantage • However, there is no guarantee that all the market research carried out is worthwhile as customers' tastes and needs are changing constantly in light of new technological developments	**(12)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Why businesses carry out market research

Answer 7 of 8 · Question 4 part c · 12 marks

2021 NOV · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1). • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	5– 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places (AO1). • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Why businesses carry out market research

Answer 7 of 8 · Question 4 part c · 12 marks

2021 NOV · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Level 3	9–12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1). • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Why businesses carry out market research

Answer 8 of 8 · Question 4 part c · 12 marks

2025 JUN · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

4 (a)	**A02 - 2 marks** 15.50 x 0.30 = 4.65 **(1)** 15.50 – 4.65 = 10.85 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Analyse why *Starbucks* thinks it is important to interview candidates that have applied for a job with them. **Indicative content**	**Mark**
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Starbucks* get the opportunity of meeting the prospective employees to check that they have the right skills to serve customers with the correct coffee drink • Additional questions can be asked of the candidate to judge whether or not they will meet the needs of producing sandwiches that customers require **AO3** • It ensures that employees will be able to serve *Starbucks* to the best of their ability • This could ensure that *Starbucks* gets the employees who will fit into the shops, giving the best service	**(6)**

Type MS · Why businesses carry out market research

Answer 8 of 8 · Question 4 part c · 12 marks

2025 JUN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Why businesses carry out market research

Answer 8 of 8 · Question 4 part c · 12 marks

2025 JUN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Q. No.	Evaluate why *Starbucks* carries out product trials that might reduce the risks from introducing new products. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO1** • If *Starbucks* launch a new product they want to know customers will buy it • All new products need to be tested on the market and the larger the sample the more accurate the results **AO2** • *Starbucks* could have wasted a great deal of money introducing a new coffee which customers did not like • If *Starbucks* introduce a new cake, they need to know that customers are likely to purchase it **AO3** • By carrying out product trials they can find out if the new coffee flavour will be bought by customers • *Starbucks* need to gain customers opinion on the new product being introduced to see if it will sell **AO4** • However, there is no guarantee that just because some customers did not like the new coffee that it would not eventually become very popular • However, no matter how much research is done on a new product there is no guarantee that customers will want to purchase the item.	**(12)**

Type MS · Why businesses carry out market research

Answer 8 of 8 · Question 4 part c · 12 marks

2025 JUN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why businesses carry out market research

Answer 8 of 8 · Question 4 part c · 12 marks

2025 JUN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom